

We see that when an asset is increasing, it has the bulls backing it. However, when it meets resistance, it meets bearish opposition. So, the bulls and bears have an arm wrestle here and if the bears win, the asset price reverts and if the bulls win, the asset price continues the trend, breaking free of the bearish opposition. The same is true on the other side as well with bulls fighting to revert the asset price and bears fighting to continue the trend.

With chart patterns, we are trying to understand the support and resistance levels of the closing price. We are in an attempt to identify the point in which the asset prices break free from their support and resistance and the trend continues for a longer period.

